This year the mechanic informs you that the engine needs an overhaul. Every year you justify your spending on repairs because of earlier expenditures when actually you need to discard the car as it has reached the end of its economic life. Maybe it is wiser to buy a new car. Spending on repairs is a common sunk cost fallacy with most of us.

3. *Government Spending on Unviable Projects:* Bureaucratic procedures have delayed a project and it has now become unviable. But a lot of steel and cement have already reached the site and the plans are ready. The initial fees of the engineers have been paid. Since so much money has already been spent the project is completed even though it is unviable. This is how sunk cost fallacy works with governments.

The influence of sunk cost fallacy is evident in our day-to-day lives. How many times have we not sat through a boring movie just because we had bought the tickets? Here are some examples of the impact of sunk cost fallacy.

At a buffet there are a variety of dishes as the restaurant has to satisfy the palates of different types of people. Instead of exercising our choice, we tend to overeat only because we have paid for it. That is sunk cost fallacy working on us. The next time you go to a buffet, remember your health is more important than the indulgence.

It is not enough to understand the two behavioural anomalies of loss aversion and sunk cost fallacy. We have to recognise our own anomalies so we can improve ourselves and become better investors.

Getting Out From Under

To find out whether you are you a victim of Loss Aversion and Sunk Cost Fallacy answer these questions.

- Do you prefer fixed income securities over stocks?
- Are you tempted to move out of the markets when prices fall?